

Roof Lifecycle Cost Analysis

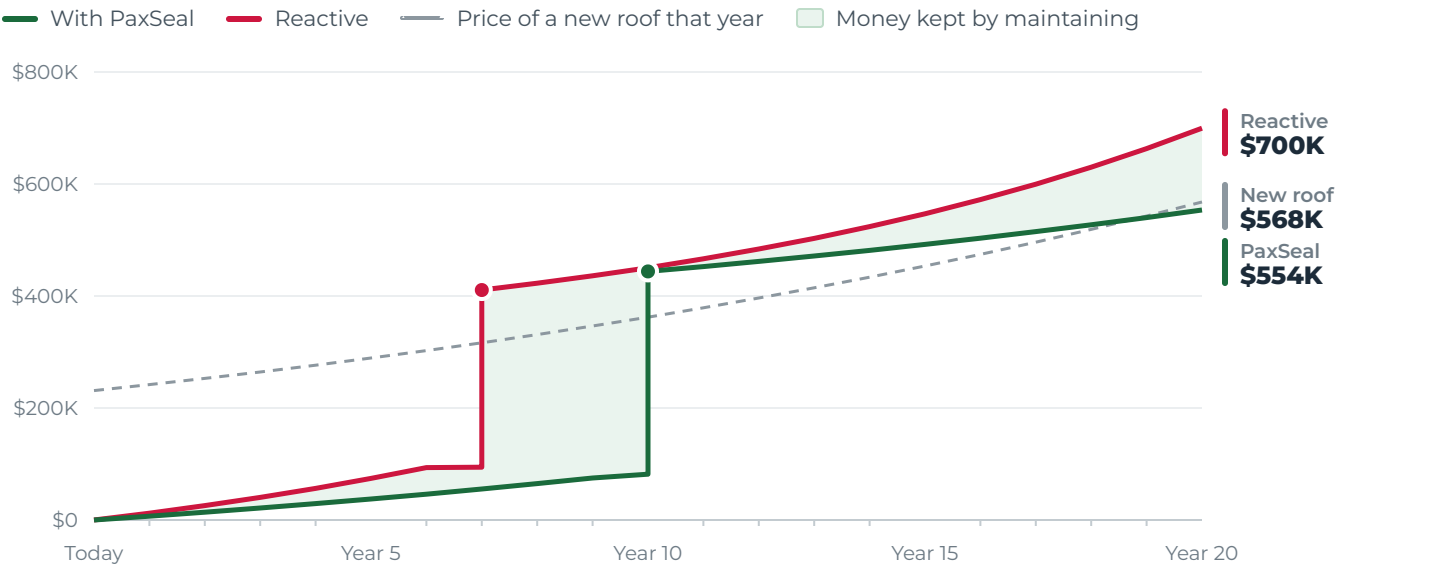
Planned maintenance is projected to save the owner of a typical Laurel retail center **\$364K** over the next 20 years.

That is 55.0% less than the reactive cost, or \$154K in today's dollars. It compares PaxSeal planned maintenance with fixing problems only after they leak, using Laurel costs and storm history.

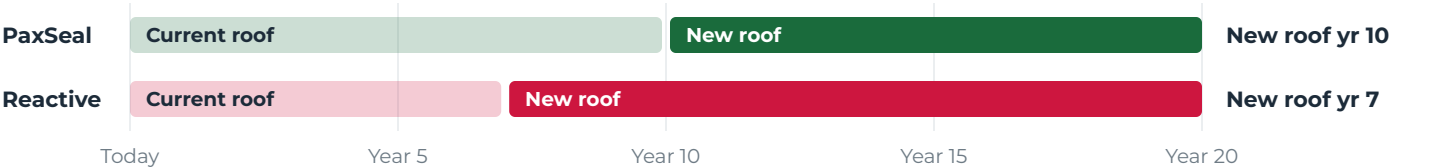
MARKET	PROPERTY	ROOF AREA	SYSTEM	AGE	NEW ROOF TODAY
Laurel	Retail	30,000 sq ft	TPO	8 yrs Good	\$231K

PAXSEAL NET COST \$298K \$554K spent, less \$256K roof life left	REACTIVE NET COST \$662K \$700K spent, less \$38K roof life left	VALUE PROTECTED \$142K \$9K/yr more NOI at a 6.6% cap rate	NEW ROOF PRICE 2× in 15 yrs \$231K today, \$568K by year 20
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Cumulative roof spending, next 20 years Nominal dollars. Vertical jumps are full roof replacements.



Roof life When each scenario needs a new roof.



Where the savings come from

20-year totals

	PAXSEAL	REACTIVE	SAVINGS
PaxSeal program fees	\$126K	—	-\$126K
Repairs paid by owner	\$56K	\$369K	+\$313K
Expected storm damage	\$10K	\$14K	+\$5K
Roof replacements	\$362K	\$316K	-\$46K
Credit for roof life left	-\$256K	-\$38K	+\$218K
Net 20-year cost	\$298K	\$662K	+\$364K

What this means

- 1 **A later replacement.** Maintenance moves the next new roof from year 7 to year 10, so fewer roofs are bought over the period.
- 2 **Smaller repairs.** Problems found on a scheduled visit avoid emergency work, which costs about 3× as much. That saves \$313K in repairs.
- 3 **The program pays for itself.** Each \$1 of PaxSeal fees returns about \$2.88 in avoided cost.

Local risk profile

Prince George's County, MD (24033)

Thunderstorm wind / derecho, snow load

~3.5 major regional roof-damaging events per 20 years (2010 snow, 2012 derecho, 2016 blizzard). Expected storm damage to this roof over 20 years is **\$10K** if maintained and **\$14K** if neglected. A documented maintenance history also helps when an insurer questions a claim.

Hail	Moderate	■■■■■
Strong wind	High	■■■■■
Tornado	High	■■■■■
Hurricane	Moderate	■■■■■
Winter weather	Very High	■■■■■
Ice storm	Moderate	■■■■■
FEMA National Risk Index rating		

Key assumptions

Confidence reflects source strength. Values will be refined as research continues.

ASSUMPTION	VALUE	BASIS	CONFIDENCE
Roof life	20 / 15 yrs	Maintained / reactive. Fannie Mae service-life tables; +5 yrs from NRC Canada roof study and manufacturer warranty terms	MEDIUM
Roof cost growth	4.6%/yr	BLS Producer Price Index, nonresidential roofing contractors, 2007–2025	HIGH
Replacement cost	\$7.70/sq ft	Laurel contractor price ranges	LOW
Reactive repair cost	3× planned	Industry estimates; no primary study found	LOW
Storm damage	0.13%/yr	Of roof cost. FEMA NRI expected annual building loss from hail, wind, tornado, hurricane and winter weather	MEDIUM
PaxSeal fee	\$4,700/yr	PAX program estimate for this roof size. Your proposal will state the actual fee	ESTIMATE
Leak consequences	1.10× warehouse	Scales reactive repair costs. Order supported by school-closure, hospital infection-control and insurer water-damage evidence; exact values are estimates	LOW
Cap rate	6.6%	Laurel retail market reports	LOW

Estimates, not a quote. Projections use Laurel market research and industry data, in nominal dollars; actual costs will differ. The PaxSeal fee is an estimate and your proposal will state the actual price. Net cost credits the roof life remaining at year 20. Property value is the yearly gain in net operating income divided by the cap rate, and applies to income-producing property where the owner pays for the roof.